

Table 1.6. How different monthly payments affect total paid

Money borrowed	APR	Monthly payments	Years to pay off	Amount paid in interest	Total paid
\$37,584	5.8%	\$182	Never	Infinite	Infinite
\$37,584	5.8%	\$200	41.3	\$61,511	\$99,095
\$37,584	5.8%	\$300	16.1	\$20,291	\$57,875
\$37,584	5.8%	\$500	7.8	\$9,233	\$46,817
\$37,584	5.8%	\$750	4.8	\$5,557	\$43,141

Table 1.6 demonstrates how different monthly payments will affect the time it will take to pay off the loan, and how much she will pay in interest. The lesson here is to pay off your debts as fast as you can if you want to avoid paying more. Look at the difference in interest paid between \$200 a month and \$300 a month; paying only \$100 more per month will end up saving Charlotte over \$40,000 in interest! Don't just fall for low monthly payments. It may sound nice to pay less per month now, but it will cost you greatly in the long run. Also, no one wants to still be paying off their student loans when they are in their fifties or sixties. If Charlotte chooses to only pay \$200 a month, it will take her over 40 years to pay off her student loans!